

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Autumn 2022
Module Code	AC2204
Module Title	INTRODUCTION TO MANAGEMENT ACCOUNTING
Paper Number	1
External Examiner	Professor Ivo De Loo
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Dr Margaret Healy
Instructions to Candidates	Answer three questions in total. Please attempt QUESTION ONE from Section A and TWO questions from Section B. Separate Answer books are NOT required.
Duration of Paper	1.5 hours
Special Requirements	Show your workings; marks will be awarded for workings.

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SECTION A: COMPULSORY

QUESTION ONE

Tomy Huts Ltd is a small company that builds and installs wooden structures called the “Garden Office”. Sean Coates, the owner, has made the following financial data available.

Variable cost per unit (Garden Office)	€400
Sales price per unit (including installation)	€640
Annual fixed costs (total)	€12,000

Required:

(A) Assume 60 units (Garden Offices) were sold in 2021. Based on the information provided, calculate each of the following and explain their usefulness for financial planning.

- (i) Operating profit (loss);
- (ii) Breakeven level of sales in units;
- (iii) Breakeven level of revenues (using the contribution margin approach);
- (iv) Percentage margin of safety;
- (v) Operating leverage.

(20 marks)

(B) Sean is considering a proposal to expand by launching a second product, “Bed in the Shed”. Initial market research suggests there would be strong demand for the product, with each unit selling for €800. The variable cost per unit for “Bed in the Shed” is €500. If the expansion proposal goes ahead, Sean will need to rent extra production space at a cost of €5,160 in which to construct each “Bed in the Shed”. Sean expects to sell 2 “Garden Office” units for each “Bed in the Shed” unit sold.

- (i) Using the Weighted Average Contribution Margin (WACM) approach, determine the breakeven point in units and sales revenues for Tomy Huts Ltd under the expansion proposal.
- (ii) If actual sales are 65 “Garden Office” units and 24 units of “Bed in the Shed”, determine the expected operating profit (loss) from proceeding with the expansion proposal.
- (iii) Advise Sean on whether or not he should proceed with the proposal, giving one financial and one non-financial reason for your answer.

(14 marks)

(C) Identify and discuss two assumptions underlying CVP analysis and consider the extent to which they can be held as reasonable approximations of reality.

(6 marks)

(Total: 40 marks)

SECTION B
ANSWER ANY TWO QUESTIONS

QUESTION TWO

Plumtree Ltd manufactures and sells a single product. The following information is available for the year to 30th December 2021.

Sales (in units)	3,000
Selling price per unit	€26.00
Production (in units)	3,200
Variable manufacturing costs (total)	€42,240
Fixed manufacturing overheads (total)	€19,360
Variable selling expenses (total)	€10,000
Fixed selling expenses (total)	€6,000

There were 400 units in opening stock on Jan 1st 2021 valued as shown in the table below.

Under marginal costing	€5,024
Under absorption costing	€7,120

Required:

- (A) Calculate the unit product cost, the value of closing stock and the operating profit using each of the following methods:
- (i) Marginal costing;
 - (ii) Absorption costing.
- (17 marks)**
- (B) Prepare a short note reconciling the profit figures from Part (A) above and explaining why this difference occurs.
- (7 marks)**
- (C) Explain each of the following terms used in management accounting:
- (i) Product-cost cross-subsidization;
 - (ii) Degree of operating leverage.

(2 * 3 marks each = 6 marks)

(Total: 30 marks)

QUESTION THREE

RedTop Ltd has grown rapidly in the last ten years. The company operates a chain of restaurants located in the suburbs of major towns and cities. The company recently initiated an activity-based costing study of its costs. RedTop Ltd wants to use the data that has become available to learn from best practices at individual restaurants. The following data is for the month of July.

Activity cost pool	Activity cost driver	Activity level
Meal preparation	Number of meals prepared	2,600 meals
Ingredient preparation (including storage)	Space (cubic feet)	1,000 cubic feet
Customer service	Number of restaurants	15 restaurants
Other	<i>These costs are not allocated.</i>	

Costs - July		Distribution of resource consumption			
	Total costs	Meal Preparation	Ingredient preparation	Customer Service	Other
Food ingredients	€48,000	80%	15%	5%	0%
Kitchen supplies	€3,000	39%	35%	15%	11%
Chefs' salaries	€20,000	65%	15%	12%	8%
Equipment depreciation	€7,000	5%	35%	50%	10%
Restaurant staff wages	€8,000	18%	12%	60%	10%
Administration costs	€15,000	0%	10%	28%	62%

Required:

- (A) Perform the first stage allocation of costs and compute activity rates for each of the cost pools. Show all your workings clearly.

(15 marks)

- (B) State and explain two potential uses of the information in your answer to Part (A) above.

(5 marks)

- (C) Discuss the following statement, outlining why you agree or disagree:
“As management accounting and financial accounting use the same basic data set of organisational information, there is really no difference between the two.”

(10 marks)

(Total: 30 marks)

QUESTION FOUR

Consider each of the following statements. For each statement, state whether you agree or disagree, explaining your answer in each case.

- (A) Prime cost consists of all direct manufacturing costs and is the same thing as conversion costs.
- (B) Differential costs are costs that have already been incurred and must always be considered when choosing one alternative over another.
- (C) The following monthly activity levels and associated costs were recorded at Bravo Ltd for the most recent financial year.

HIGH: October	210 units	Total cost: €14,631
LOW: April	70 units	Total cost: €11,397

If it is planned to produce 180 units in January next year, then based on the cost function for the most recent financial year, the expected cost is €12,451.

- (D) Absorption costing treats only those costs of production that vary with output as product costs.
- (E) Cost structure refers to the relative proportions in which an organisation's products are sold.

(5 parts * 6 marks each)
(Total: 30 marks)

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